

You need to have a good team in place

Channel: Tim Luong · Published: Oct 10, 2026 · Watch: <https://www.youtube.com/shorts/vGfGOeRVuRI> Source: full transcript

Executive Summary

Tim Luong nearly went bankrupt twice in his 20s. The key lesson: you don't truly have the right team and systems until you can step away for 2–4 weeks without anything breaking.

Contents

-  The Miami Incident: Revenue Collapse
-  Returning, Firing, and Fixing
-  The Core Lesson for Business Owners

The Miami Incident: Revenue Collapse 0:00

- In his 20s, Tim came close to going bankrupt **twice**
- The first near-bankruptcy was triggered by spending **4 months partying in Miami**
 - During that period he was not focused on the fine details of the business
 - He was not completely absent from work, but not closely overseeing operations
- Monthly business revenue dropped from **\$700,000 to \$350,000** — a 50% decline
 - When he returned to LA and reviewed the business, he was stunned by what had happened
 - An extraordinary number of poor decisions had been made in his absence

Returning, Firing, and Fixing 0:20

- Tim reviewed all decisions made while he was away and identified who on the team was responsible for the mistakes
- His conclusion: "IQ and critical thinking cannot be taught"
 - The people making the foolish errors were simply not capable of the judgment required
- He decided those team members had to go immediately
- Actions taken upon return:
 - Fired the individuals responsible for the poor decisions
 - Personally took over and corrected the affected departments
- Without acting quickly, the \$350,000/month loss would have led to immediate bankruptcy
- Recovery timeline: everything was back to normal within approximately **6 months**



The Core Lesson for Business Owners [0:41](#)

- As a business owner, you may believe you have the right people and the right systems — but you probably don't

The real test: you can only confirm you have the right team and systems once you've stepped away for **2 to 4 weeks** and nothing goes wrong.

- Don't assume your infrastructure is solid until it has been stress-tested by your actual absence
- The risk of stepping away prematurely is catastrophic revenue loss and potential insolvency